

Macroeconomic Credit Spread Forecasting with Scenario Analysis and Investment Applications

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Albina Gumennaia

1. Problem Statement

Corporate credit spreads play a central role in fixed-income markets. They influence corporate borrowing costs, portfolio valuations, relative value opportunities, and investment decisions, while also serving as an important indicator of market conditions and perceived credit risk. Changes in inflation, interest rates, unemployment, GDP growth, and monetary policy can significantly affect the behavior of credit spreads over time.

The objective of this project is to develop machine learning and time-series forecasting models that predict future corporate credit spreads using macroeconomic indicators, evaluate how spreads respond under different economic scenarios, and investigate whether these forecasts can support tactical fixed-income investment decisions, portfolio allocation, and risk management.

2. Context

Credit spreads measure the additional yield investors demand for holding corporate bonds instead of risk-free U.S. Treasury securities.

Financial institutions, investment managers, and quantitative analysts continuously monitor credit spreads because widening spreads often signal increasing economic uncertainty and higher default risk.

Forecasting future credit spreads allows institutions to:

- Evaluate relative value opportunities in corporate credit markets
- Support portfolio allocation
- Anticipate changing market conditions
- Improve portfolio risk management
- Perform macroeconomic scenario analysis

Rather than relying only on historical spread movements, this project incorporates macroeconomic variables to better understand the relationship between economic conditions and corporate credit markets.

3. Criteria for Success

The project will be considered successful if it can:

- Accurately forecast corporate credit spreads on unseen (out-of-sample) time periods using time-series validation.
- Achieve lower forecasting error than baseline forecasting models.
- Identify the macroeconomic variables that have the greatest influence on corporate credit spreads.
- Evaluate the impact of different macroeconomic scenarios on predicted credit spreads.
- Present interpretable results through visualizations, feature importance analysis, and model performance comparisons.
- Demonstrate how model forecasts could be translated into simple portfolio allocation or trading signals and evaluate their usefulness through a basic backtest.

4. Scope of the Solution Space

- Time-series forecasting models (e.g., ARIMA and SARIMAX).
- Regression models using macroeconomic indicators as predictive features.
- Feature engineering through lagged variables and rolling statistical measures to capture temporal relationships.
- Time-series cross-validation and out-of-sample testing to evaluate forecasting performance.
- Scenario analysis to assess the impact of hypothetical macroeconomic conditions on predicted credit spreads.
- Translate spread forecasts into hypothetical investment signals (e.g., increasing or reducing corporate credit exposure) and evaluate the strategy using historical data.

Model performance will be evaluated and compared using forecasting accuracy metrics such as:

- RMSE
- MAE

- Mean Absolute Percentage Error (if appropriate)

The project will focus on forecasting investment-grade corporate credit spreads using publicly available macroeconomic data.

5. Constraints

Potential limitations include:

- Structural changes in financial markets and monetary policy regimes that may alter historical relationships between macroeconomic variables and credit spreads.
- Sudden economic shocks or geopolitical events that are difficult to anticipate using historical data alone.
- The use of publicly available market data rather than proprietary institutional or portfolio-level data, which may limit the model's applicability to individual financial institutions.
- Multicollinearity among macroeconomic variables, which can complicate model interpretation.
- The assumption that historical relationships between macroeconomic indicators and credit spreads remain reasonably stable over the forecasting period.

6. Stakeholders

Potential users of this project include:

- Quantitative researchers
- Portfolio managers
- Fixed-income investment teams
- Asset management firms
- Hedge funds
- Credit research analysts
- Credit risk analysts
- Risk management departments
- Financial institutions performing stress testing

These stakeholders can use the forecasts to support investment decisions, portfolio allocation, and risk management.

7. Data Sources

Potential data sources include:

For macroeconomic and financial market variables:

- Federal Reserve Economic Data (FRED)
- Federal Reserve Bank of Philadelphia — potential source for economic expectations/survey data used to construct macroeconomic surprise measures

Examples of variables:

- Inflation (CPI)
- Federal Funds Rate
- Treasury yields
- Unemployment Rate
- GDP growth
- VIX

For corporate credit spreads:

- Moody's corporate bond yield data, available through FRED
- U.S. Treasury yield data, available through FRED

All datasets will be merged by date to create a unified time-series dataset.